

PREFACE

What separates the rich from the rest of us?

Hemingway claimed it was the fact that they had more money.

Recently, we drove through a working-class neighborhood of Baltimore, called Dundalk. It is an area of simple one- and two-story wooden houses on small lots. Fifty years ago, it was where Baltimore's industrial labor force lived. The residents worked in heavy industries for companies such as Bethlehem Steel, General Motors, and the B&O Railroad and at the busy harbor.

Today, those high-wage industries are mostly silent and rusting. Some sites along the water have been converted into loft apartments for Baltimore's young professionals. And some of the children and grandchildren of the older residents have moved away—to the suburbs or to other cities.

But most of them are still there. Their parents and grandparents earned a good living. But few got rich. And now, few of their descendants are rich, either.

Across town, in the rich "old" northern suburbs of Roland Park and Ruxton, the people are different. The rich left the city many years ago. But in these green suburbs, they remain. Some richer. Some poorer. But by and large, they're the same people whose parents were there 50 years ago.

What accounts for it? How come some families stay rich generation after generation, while others never have a nickel?

"Culture," you will say. "Education," perhaps. You won't be wrong. But what, specifically, about culture and education is it that makes such a big difference in outcomes?

The secret is simply this: The rich take the long view.

Let me ask you something. If you thought you'd live forever, would you do anything differently? Wouldn't your attitude toward your money change a little? Wouldn't you slow down, realizing that you're not in such a hurry to make money? And wouldn't you reduce your spending, too, knowing that your money would have to last you a long, long time?